

August 12, 2026 07:19 PM GMT

Pegatron Corporation | Asia Pacific

2Q in line, but servers tracking above expectations

WHAT'S CHANGED

Pegatron Corporation (4938.TW)	From	To
Price Target	NT\$85.00	NT\$96.00

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↑ Meaningful upside Financial results versus consensus	↑ Modest revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Similar to other OEM and ODMs, Pegatron's AI server momentum has been better than expected. However, valuation at 12x CY27e P/E (above 5-year historical average) keeps us EW.

As we had written previously, Pegatron is seeing increasing revenue from AI servers, with momentum tracking ahead of prior expectations. Computing revenue rose 85% q/q in 2Q26 on strong server shipments and higher PC ASPs, and 3Q server revenue should continue to increase q/q on higher GB300 and HGX shipments. Management now expects full-year server revenue growth to exceed its previous 10x y/y growth target, and for servers to become one of its top two or three business groups in terms of revenue contribution, within 1-2 years, supported by robust demand and high ASPs. Inventory increased sharply to support current orders and prospective demand, including GB300 programs that are expected by management to extend into 2027.

PC demand remains challenged; smartphones should benefit from seasonality:

Management expects 2H26 PC unit volumes to decline at a single-digit %, with uncertainties driven by component availability. However, PC revenue should be more resilient, aided by higher component prices. As for communications, revenue should be supported by new smartphone model launches, with management mentioning staggered ones in 2H26 and 1Q27, though memory supply remains a swing factor for actual shipment timing.

Like most ODMs, Pegatron needs to raise capital for procurement of key components in AI servers:

The company said it plans to issue corporate bonds of no more than NT\$20B and ECB of no more than US\$500M. The raised capital will be used to support its AI server business. Its CY26 capex plan is unchanged at US \$300–350M. New capacity spending is to mainly target Taiwan and North America; further investment in Southeast Asian capacity is possible, although much of the factory infrastructure is already in place.

PT increases by 13% to NT\$96; stay EW: Our PT implies 12.5x 2027e P/E, higher than its five-year historical average of 11.3x, which we view as fair due to rising exposure to AI servers, with key customers such as Together AI.

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Asia Summer School 2026

Pegatron Corporation (4938.TW, 4938 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	NT\$96.00
Up/downside to price target (%)	5
Shr price, close (Aug 12, 2026)	NT\$91.40
52-Week Range	NT\$102.50-67.50
Sh out, dil, curr (mn)	2,614
Mkt cap, curr (mn)	NT\$238,899
EV, curr (mn)	NT\$204,785
Avg daily trading value (mn)	NT\$956

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	5.39	5.70	7.71	8.31
Prior EPS (NT\$)**	-	5.39	7.61	8.04
EPS (NT\$)§	4.92	5.61	6.76	7.43
Revenue, net (NT\$ mn)	1,117,16	1,264,89	2,039,35	2,297,40
	0	5	9	7
EBITDA (NT\$ mn)	27,307	34,863	45,453	49,331
ModelWare net inc (NT \$ mn)	14,403	15,235	20,613	22,192
P/E	12.7	16.0	11.8	11.0
P/BV	0.7	0.9	0.9	0.8
RNOA (%)	5.5	7.1	10.4	10.8
ROE (%)	6.0	6.2	7.7	8.0
EV/EBITDA	5.5	5.3	4.0	4.1
Div yld (%)	6.1	0.0	0.0	0.0
FCF yld ratio (%)**	5.3	4.8	4.1	(3.3)
Leverage (EOP) (%)	(21.9)	(27.5)	(27.2)	(20.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Risk Reward – Pegatron Corporation (4938.TW)

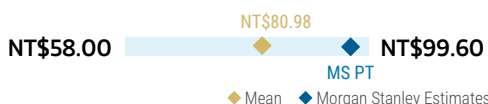
Growth hit by iPhone EMS business despite diversification efforts

PRICE TARGET NT\$96.00

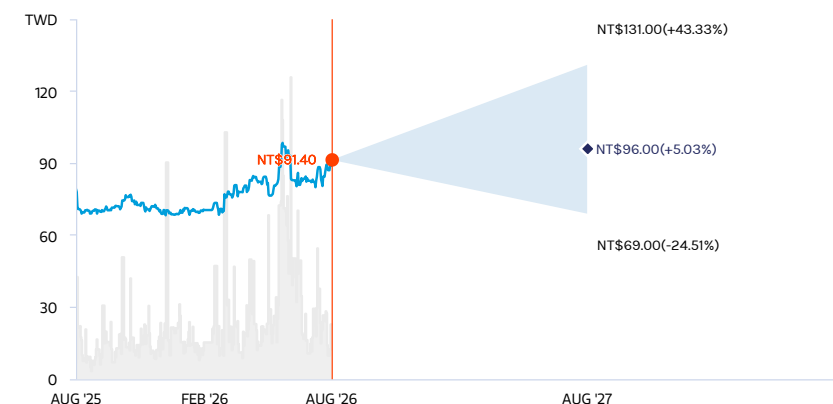
Base case, sum-of-the-parts. Recurring core business earnings: 9x 2027e P/E, within ODMs' historical trading range of 8x to 12x since 2011, and below Pegatron's five-year average of 11.3x. We view our target P/E multiple as fair, reflecting a weaker end demand outlook for Pegatron's smartphone and PC business. We value its stakes in AsRock, Kinsus and Azure based on their market values in proportion to Pegatron's holdings.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



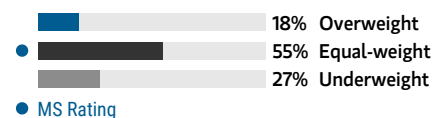
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect Pegatron to not benefit as much vs. its peers (e.g., Hon Hai) from increased AI iPhone sales, as its exposure to iPhone is skewed toward the non-premium models.
- Fierce competition from Luxshare in iPhone EMS also remains an overhang.
- Server business prospects are strong, but the contribution is still not significant enough to offset the weakness of demand for consumer electronics.
- Auto/EV business could continue to decelerate in 2026, due to intensifying competition from Chinese brands.
- We view current valuation as insufficiently attractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$131.00

16.9x 2027e EPS

Stronger growth thanks to iPhone volumes and a much-better-than-expected EV contribution: We also assume the EV business contributes a double-digit share of revenue. Contributions from Kinsus and Luxshare investments are higher than in our base case.

BASE CASE

NT\$96.00

12.4x 2027e EPS

Limited growth from core business with decent investment gains: Luxshare's competition in iPhone EMS business remains an overhang on the stock, and its EV business (single-digit revenue contribution) is still too small for us to be bullish.

BEAR CASE

NT\$69.00

8.9x 2027e EPS

Revenue decline on weaker iPhone volumes and business challenges from significant share loss to Luxshare and declining profitability from its consolidated subsidiaries such as Kinsus. EV contribution also declines on a y/y basis owing to share loss.

Risk Reward – Pegatron Corporation (4938.TW)

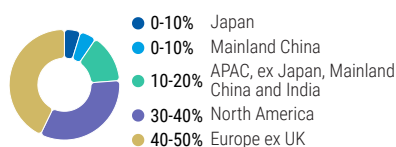
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
iPhone shipment y/y (%)	(3.4)	(8.5)	5.0	5.0
iPhone OPM (%)	0.2	0.2	0.5	0.5

INVESTMENT DRIVERS

- iPhone demand
- Global NB/broadband demand
- Game console demand
- EV demand
- Margin performance

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected iPhone volumes.
- Stronger PC shipments as a result of better component supply.
- Better-than-expected demand from EVs.

RISKS TO DOWNSIDE

- Weaker iPhone demand.
- Margin erosion from poor resource planning.
- Lower contribution from non-PC products.

OWNERSHIP POSITIONING

Inst. Owners, % Active 53.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT\$, mn) 1,250,922 1,393,842 2,039,359

EBITDA (NT\$, mn) 31,916 38,619 45,453

Net income (NT\$, mn) 15,241 18,098 20,613 21,268

EPS (NT\$) 5.68 6.76 7.71 7.91

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

2Q26 results summary

2Q GM was 4.4% (flat q/q), 30bps above MSe but in line with the Street.

2Q OP came in at NT\$4.2B (+48% q/q), 3% above MSe and the Street, for OpM of 1.5% (+40bps q/q).

2Q non-op income was higher at NT\$3.5B, primarily owing to higher gains on financial asset valuation.

Thus, 2Q NP came in at NT\$4.5B (+187% q/q), 37% above MSe and 48% above the Street, for EPS of NT\$1.68.

In addition to supply tightness of CPU and memory, which has persisted for some time already, management flagged that *shortages of PCB (and its supply chain – CCL and glass fabric) and power-related IC/component (high-cap/vol MLCC, power module, MOSFET, PMIC, etc.)* appear to have worsened recently.

Exhibit 1: Pegatron 2Q26 results summary

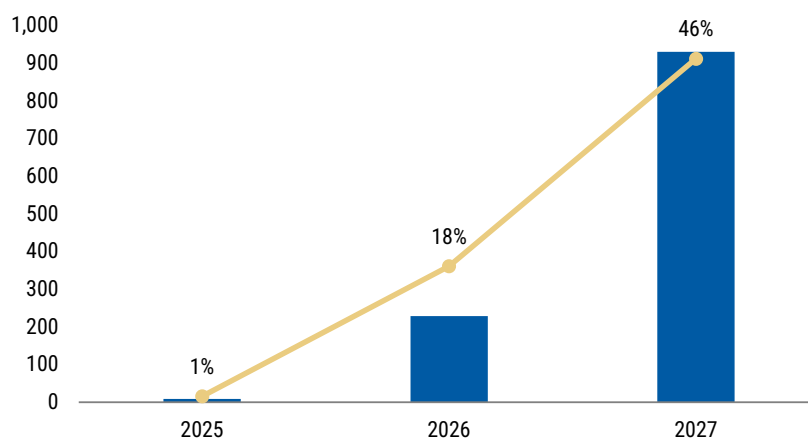
Year to Dec. 31 (NT\$m)	Actual	Q/Q	Y/Y	Mse	Diff. %	Cons.	Diff. %
P&L Summary	2Q26			2Q26		2Q26	
Net sales	274,448	12%	3%	316,300	-13%	283,006	-3%
COGS	(262,292)			(303,130)		(270,485)	
Gross profit	12,156	13%	45%	13,170	-8%	12,521	-3%
Operating expenses	(7,958)			(9,106)		(8,457)	
Operating income	4,198	48%	185%	4,064	3%	4,064	3%
Non-operating income	3,547			2,361		2,166	
Pre-tax income	7,744	124%	347%	6,426	21%	6,230	24%
Income tax	(1,431)			(2,249)			
Minority interest (paid) received	(1,826)			(890)			
Net income	4,488	187%	1461%	3,287	37%	3,023	48%
EPS (NT\$)	1.68			1.23		1.13	
Margins		ppt	ppt		ppt		ppt
Gross margin	4.4%	0.0	1.3	4.2%	0.3	4.4%	0.0
Operating margin	1.5%	0.4	1.0	1.3%	0.2	1.4%	0.1
Pretax margin	2.8%	1.4	2.2	2.0%	0.8	2.2%	0.6
Net margin	1.6%	1.0	1.5	1.0%	0.6	1.1%	0.6

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

AI Server Revenue Contribution

Exhibit 2: Pegatron's AI server revenue and contribution %

Pegatron's AI Server Revenue Contribution (NT\$ B)



Source: Morgan Stanley Research estimates.

Estimate Changes

We adjust our model to reflect 2Q26 results and updated guidance from management, and increase our 2026-2028 EPS estimates by 6% for 2026, 1% for 2027, and 3% for 2028. The increase in our 2026 forecast is mainly driven by the 2Q26 non-op income beat.

Exhibit 3: Estimate Changes

P&L Summary	New	Old	Diff. %	New	Old	Diff. %	New	Old	Diff. %
(NT\$m)	2026E	2026E		2027E	2027E		2028E	2028E	
Net sales	1,264,896	1,315,917	-4%	2,039,359	1,858,125	10%	2,297,407	2,006,048	15%
COGS	(1,212,165)	(1,260,887)		(1,971,741)	(1,790,537)		(2,225,396)	(1,934,960)	
Gross profit	52,731	55,030	-4%	67,618	67,588	0%	72,011	71,088	1%
Operating expenses	(34,525)	(36,429)		(40,748)	(41,109)		(43,190)	(43,229)	
Operating income	18,205	18,601	-2%	26,870	26,479	1%	28,822	27,859	3%
Non-operating income	8,751	7,719		8,738	9,045		8,738	9,045	
Pre-tax income	26,957	26,320	2%	35,608	35,524	0%	37,560	36,904	2%
Income tax	(6,478)	(7,489)		(10,063)	(10,028)		(10,436)	(10,264)	
Minority interest (paid) received	(5,244)	(4,417)		(4,932)	(5,149)		(4,932)	(5,149)	
Net income	15,235	14,415	6%	20,613	20,347	1%	22,192	21,491	3%
EPS (NT\$)	5.70	5.39	6%	7.71	7.61	1%	8.31	8.04	3%
Margins									
Gross margin	4.2%	4.2%		3.3%	3.6%		3.1%	3.5%	
Operating margin	1.4%	1.4%		1.3%	1.4%		1.3%	1.4%	
Pretax margin	2.1%	2.0%		1.7%	1.9%		1.6%	1.8%	
Net margin	1.2%	1.1%		1.0%	1.1%		1.0%	1.1%	

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

Our SoTP-derived PT (base-case value) rises to NT\$96. We apply a P/E multiple of 9x (unchanged) to our estimate of Pegatron's recurring core business earnings for 2027. The increase in our PT is primarily driven by higher market caps for Pegatron's strategic investments.

The 9x P/E multiple is within ODMs' historical trading range of 8-12x since 2011 and below Pegatron's five-year average of 11.3x. We view our target P/E multiple as fair, reflecting weaker end-demand outlooks for Pegatron's smartphone and PC business.

For reference, to derive the historical P/E band for Pegatron's Design and Manufacturing Services (DMS) business, we use the following:

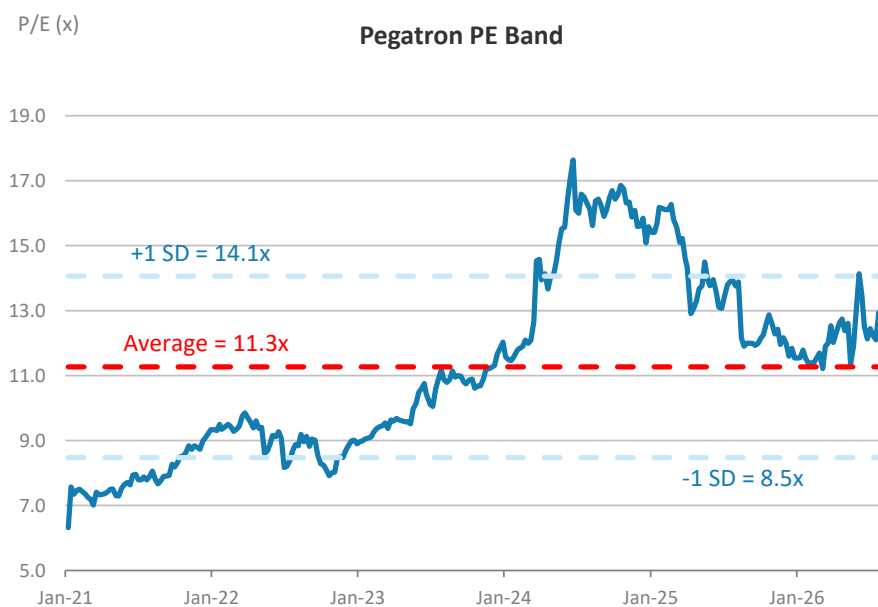
- Pegatron's total market cap;
- Minus the market cap for strategic investments – ASRock (3515.TW), Kinsus (3189.TW) and Azure (3694.TW);
- Minus the market cap for Casetek; and
- Pegatron's DMS-only earnings.

Our bull/bear case scenario values increase by similar magnitudes to the change in our base-case value, to NT\$131 and NT\$69, respectively.

Exhibit 4: Pegatron: SOTP methodology – We combine the market value of the core business and the strategic investments

Pegatron - SOTP	
NT\$mn	2027e
Core business (DMS)	
Recurring earning after tax	17,149
Applied multiples	9x
Market capitalization - (1)	153,137
Strategic long-term investments market value	
ASRock (56% holding)	15,504
Kinsus (39% holding)	84,352
Azure (33% holding)	2,707
Total strategic LT investments - (2)	102,563
Total market value	255,700
Outstanding shares	2,663
Pegatron's price target (NT\$)	96.0

Source: Morgan Stanley Research (e) estimates.

Exhibit 5: Pegatron P/E band

Financials

Exhibit 6: Quarterly Earnings Estimates

NT\$mnn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	272,433	267,336	257,863	319,528	244,105	274,448	357,398	388,944	1,117,160	1,264,895	2,039,359	2,297,407
COGS	(262,268)	(258,958)	(246,961)	(306,471)	(233,304)	(262,292)	(343,004)	(373,565)	(1,074,659)	(1,212,165)	(1,971,741)	(2,225,396)
Gross profits	10,165	8,377	10,902	13,057	10,801	12,156	14,393	15,380	42,501	52,731	67,618	72,011
Operating expenses	(7,682)	(6,906)	(7,684)	(8,620)	(7,972)	(7,958)	(9,229)	(9,366)	(30,893)	(34,525)	(40,748)	(43,190)
SG&A, R&D exp.	(3,634)	(3,197)	(3,716)	(4,245)	(4,091)	(3,659)	(4,452)	(4,555)	(14,791)	(16,757)	(19,730)	(20,906)
Employee bonus	(4,049)	(3,710)	(3,968)	(4,375)	(3,881)	(4,299)	(4,777)	(4,811)	(16,101)	(17,768)	(21,018)	(22,283)
Operating income	2,483	1,471	3,218	4,437	2,829	4,198	5,165	6,014	11,609	18,205	26,870	28,822
Non-operating income	4,187	260	4,457	4,422	636	3,547	2,285	2,285	13,325	8,751	8,738	8,738
Interest income	587	748	728	1,040	711	635	635	635	3,102	2,615	2,538	2,538
Investment income	1,009	790	588	1,263	(249)	187	900	900	3,651	1,738	3,200	3,200
Disposal of investment	(122)	1	32	1,217	-	-	-	-	1,128	-	-	-
Exchange gain	31	(1,086)	153	(66)	86	-	-	-	(968)	86	-	-
Other	2,682	(193)	2,956	967	87	2,725	750	750	6,411	4,312	3,000	3,000
Pre-tax income	6,669	1,731	7,675	8,859	3,465	7,744	7,449	8,298	24,934	26,957	35,608	37,560
Income tax	(1,512)	(649)	(2,189)	(2,474)	(605)	(1,431)	(2,125)	(2,317)	(6,824)	(6,478)	(10,063)	(10,436)
Minority interest	(854)	(794)	(941)	(1,118)	(1,298)	(1,826)	(1,029)	(1,090)	(3,707)	(5,244)	(4,932)	(4,932)
Net income	4,303	287	4,545	5,267	1,561	4,488	4,295	4,891	14,403	15,235	20,613	22,192
Adj.wtd.avg.shrs (mn)	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672
EPS	1.61	0.11	1.70	1.97	0.58	1.68	1.61	1.83	5.39	5.70	7.71	8.31
Margins (%)												
Gross Margin	3.7	3.1	4.2	4.1	4.4	4.4	4.0	4.0	3.8	4.2	3.3	3.1
Operating Margin	0.9	0.6	1.2	1.4	1.2	1.5	1.4	1.5	1.0	1.4	1.3	1.3
Pretax Margin	2.4	0.6	3.0	2.8	1.4	2.8	2.1	2.1	2.2	2.1	1.7	1.6
Net Margin	1.6	0.1	1.8	1.6	0.6	1.6	1.2	1.3	1.3	1.2	1.0	1.0
QoQ Growth (%)												
Sales	(17)	(2)	(4)	24	(24)	12	30	9				
Gross Profit	(14)	(18)	30	20	(17)	13	18	7				
Operating Profit	(14)	(41)	119	38	(36)	48	23	16				
Pretax Profit	12	(74)	343	15	(61)	124	(4)	11				
Net Profit	15	(93)	1,481	16	(70)	187	(4)	14				
YoY Growth (%)												
Sales	9	5	(12)	(2)	(10)	3	39	22	(1)	13	61	13
Gross Profit	(4)	(28)	(9)	11	6	45	32	18	(8)	24	28	6
Operating Profit	(18)	(50)	(12)	53	14	185	61	36	(7)	57	48	7
Pretax Profit	28	(82)	17	49	(48)	347	(3)	(6)	(8)	8	32	5
Net Profit	32	(95)	6	41	(64)	1,461	(6)	(7)	(15)	6	35	8

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 7: Consolidated Financial Summary

Consolidated Brand Income Statement

NT\$mnn (Year End Dec)	2025	2026E	2027E	2028E
Net sales	1,117,160	1,264,895	2,039,359	2,297,407
COGS	(1,074,659)	(1,212,165)	(1,971,741)	(2,225,396)
Gross profit	42,501	52,731	67,618	72,011
Operating expenses	(30,893)	(34,525)	(40,748)	(43,190)
Operating income	11,609	18,205	26,870	28,822
Non-operating income	13,325	8,751	8,738	8,738
Interest income	3,102	2,615	2,538	2,538
Investment income	3,651	1,738	3,200	3,200
Disposal of investment	1,128	-	-	-
Disposal of fixed assets	969	1	-	-
Exchange gain	(968)	86	-	-
Other	5,443	4,311	3,000	3,000
Pre-tax income	24,934	26,957	35,608	37,560
Income tax	(6,824)	(6,478)	(10,063)	(10,436)
Minority interests	(3,707)	(5,244)	(4,932)	(4,932)
Net income	14,403	15,235	20,613	22,192
EPS for consensus	5.39	5.70	7.71	8.31

Consolidated Brand Balance Sheet

NT\$mnn (Year End Dec)	2025	2026E	2027E	2028E
Cash	119,380	139,689	144,082	136,375
Mkt securities	5,266	5,266	5,266	5,266
AR/NR	221,025	250,254	403,478	454,532
Inventory	81,235	86,245	120,078	158,291
Others	32,383	36,665	59,114	66,594
Current Assets	459,289	518,119	732,018	821,058
Long-term investments	61,378	63,116	66,316	69,516
Fixed assets	84,677	83,214	79,823	74,507
Other assets	17,770	17,770	17,770	17,770
Total Assets	623,115	682,219	895,928	982,852
S/T borrowings	59,107	59,672	61,782	69,376
AP/NP	249,241	281,132	457,297	516,126
Other ST liabilities	36,884	41,761	67,331	75,851
Total current liabilities	345,232	382,565	586,410	661,353
L/T debt	11,447	11,556	11,965	13,435
Other LT liabilities	19,978	19,978	19,978	19,978
Total Liabilities	376,657	414,099	618,353	694,767
Common shares	26,822	26,822	26,822	26,822
Retained Earnings	73,171	94,833	104,288	114,799
Other SH Equity	146,465	146,465	146,465	146,465
Shareholders' equity	246,458	268,120	277,575	288,085
Total Liab./SH Equity	623,115	682,219	895,928	982,852

Consolidated Brand Cash Flow Statement

NT\$mnn (Year End Dec)	2025	2026E	2027E	2028E
Cashflow from operations	19,640	28,400	28,224	10,103
Net Profits	14,403	15,235	20,613	22,192
Depreciation & Amortization	14,730	16,656	18,583	20,509
Equity invest. losses (income)	(4,779)	(1,738)	(3,200)	(3,200)
Change in Working Capital	4,541	(2,348)	(10,891)	(30,438)
Other adjustments	(9,254)	595	3,120	1,040
Cashflow from investing	(16,833)	(16,738)	(18,200)	(18,200)
Change of FA (capex)	(17,458)	(15,000)	(15,000)	(15,000)
Change of L/T investment	6,532	(1,738)	(3,200)	(3,200)
Other adjustments	(5,906)	-	-	-
Cashflow from financing	(3,165)	11,994	(2,284)	3,738
Increase in L/T debt	(3,080)	109	409	1,471
Increase in S/T debt	24,014	564	2,110	7,594
Proceed from new issues of shares	-	-	-	-
Cash Dividend paid	(13,455)	(10,657)	(11,158)	(11,682)
Other adjustments	(10,644)	21,977	6,355	6,355
Net change in cash	(358)	23,656	7,741	(4,359)

Consolidated Brand Financial Ratio

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	3.8	4.2	3.3	3.1
Operating margin	1.0	1.4	1.3	1.3
Pretax margin	2.2	2.1	1.7	1.6
Net margin	1.3	1.2	1.0	1.0
YoY growth (%)				
Sales	-0.7	13.2	61.2	12.7
Operating profits	-7.1	56.8	47.6	7.3
Pretax profits	-8.4	8.1	32.1	5.5
Net profits	-14.7	5.8	35.3	7.7
Others				
Cash div payout ratio (%)	41.9	41.9	41.9	41.9
Adjusted cash dividend (NT\$)	4.0	4.2	4.4	4.6
Yield (%)	5.7	6.0	6.3	6.6
Net Debt/Equity (%)	-21.9	-27.5	-27.2	-20.4
Liabilities/Equity (%)	152.8	154.4	222.8	241.2
Liabilities/Assets (%)	60.4	60.7	69.0	70.7
ROAE (%)	5.9	5.9	7.6	7.8
ROAA (%)	2.2	2.3	2.6	2.4
AR/NR Turnover (days)	79	68	59	68
Inventory Turnover (days)	15	13	12	12
AP/NP Turnover (days)	95	80	68	80
Cash conversion cycle (days)	0	2	2	0

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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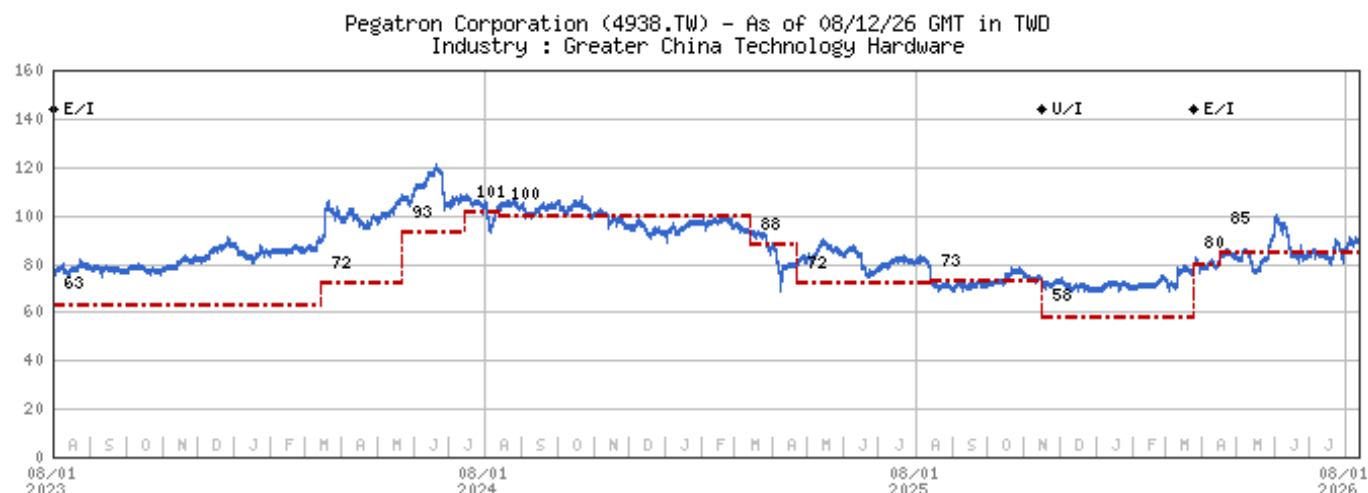
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Price Target History: 7/28/21 : 64; 3/7/22 : 70; 3/10/22 : 75; 5/13/22 : 70; 7/26/22 : 65; 8/1/22 : 68; 11/11/22 : 66; 5/1/23 : 63; 3/15/24 : 72; 5/22/24 : 93; 7/15/24 : 101; 8/13/24 : 100; 3/14/25 : 88; 4/23/25 : 72; 8/14/25 : 73; 11/16/25 : 58; 3/25/26 : 80; 4/17/26 : 85

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Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.36
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$131.40

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT\$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$369.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$602.00
Zhen Ding (4958.TW)	++	NT\$471.50

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* Historical prices are not split adjusted.

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